Type MS · Credit control and whether to sell on credit

Answer 1 of 6 · Question 15 part c · 5 marks

2022 JUN · Paper 01 · extract 1 of 2 · find part c in this mark scheme extract

15(a)	**Award marks as indicated** April 2022 | Book of original entry 12 | Purchases day book (journal) **(1)** 19 | Purchases returns day book (journal) / Returns outwards day book (journal) **(1)** 29 | Cash book **(1)**	**(3)**

Question number	Answer	Mark
15(b)(i)	**Award marks for correct dates, details and amounts as indicated.**	**(6)**

Rafa Account

Date 2022	Details	$	Date 2022	Details	$
Apr 19	Purchases returns day book	80 **(1)**	Apr 1	Balance b/d	640 **(1)**
29	Cash book/bank	608 **(1)**	12	Purchases day book	680 **(1)**
	Discount (received)	32 **(1)**			
30	Balance c/d	600			
		1 320			1 320
			May 1	Balance b/d	600 **(1of)**

Type MS · Credit control and whether to sell on credit

Answer 1 of 6 · Question 15 part c · 5 marks

2022 JUN · Paper 01 · extract 2 of 2 · find part c in this mark scheme extract

Question number	Answer	Mark
15(b)(ii)	**Award mark as indicated.** Current liabilities **(1of).**	**(1)**

Question number	Answer	Mark
15(c)	**Award 1 mark for identification, 1 mark for development of an advantage and a disadvantage and 1 mark for overall conclusion.** **Sample answer** Offering credit terms may introduce new customers to the business **(1)** which will increase her turnover and profits **(1)** Will lead to the possibility of irrecoverable debts **(1)**, which will decrease profits **(1)**. Martina should proceed with this proposal **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 15 = 15 MARKS

Type MS · Credit control and whether to sell on credit

Answer 2 of 6 · Question 18 part f · 1 mark

2023 JUN · Paper 01 · extract 1 of 3 · find part f in this mark scheme extract

Question Number	Answer	Mark
18(a)	**Award marks as indicated.** An irrecoverable debt is a specific amount owing to a business which will not be paid. **(1)** A provision for irrecoverable debts is an estimate of the amount which a business may lose due to irrecoverable debts. **(1)** **Accept any other appropriate responses**	**(2)**

Question Number	Answer	Mark
18(b)	**Award mark as indicated.** 4% **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(i)	**Award mark as indicated.** $20 750 **(1)**	**(1)**

Question Number	Answer	Mark
18(c)(ii)	**Award mark as indicated.** $830 **(1of)**	**(1)**

Type MS · Credit control and whether to sell on credit

Answer 2 of 6 · Question 18 part f · 1 mark

2023 JUN · Paper 01 · extract 2 of 3 · find part f in this mark scheme extract

Question Number	Answer	Mark
18(c)(iii)	**Award marks for correct dates, details and amounts in combination. Award 1 mark for label (Income statement) as indicated.**	**(4)**

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$
30 April	Balance c/d	830	1 May	Balance b/d	744 **(1)**
			30 April	Income statement **(1)**	86 **(1)**
		830			830
			1 May	Balance b/d	830 **(1of)**

Question Number	Answer	Mark
18(d)	**Award marks as indicated.**	**(2)**

Account	Non-current assets	Current assets	Non-current liabilities	Current liabilities
Provision for depreciation	✓ **(1)**			
Provision for irrecoverable debts		✓ **(1)**		

Question Number	Answer	Mark
18(e)	**Award 1 mark for identification and up to 2 marks for development.** **Sample answer** Prudence concept states profits/assets should not be overstated **(1)** Creating a provision **profit for the year** will not be overstated **(1)** and **trade receivables/current assets** will not be overstated. **(1)** **Accept any other appropriate responses.**	**(3)**

Type MS · Credit control and whether to sell on credit

Answer 2 of 6 · Question 18 part f · 1 mark

2023 JUN · Paper 01 · extract 3 of 3 · find part f in this mark scheme extract

Question Number	Answer	Mark
18(f)	**Award mark as indicated. Max 1 mark.** Cash sales only **(1)** Strict credit control **(1)** **Accept any other appropriate response.**	**(1)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Credit control and whether to sell on credit

Answer 3 of 6 · Question 16 part c · 2 marks

2023 NOV · Paper 01 · extract 1 of 2 · find part c in this mark scheme extract

16(a)

Award 1 mark for each correct figure as indicated.
Award 1 mark for all correct dates and details.

Trade Receivables Ledger Control Account

Date	Details	$	Date	Details	$
April 1	Balance b/d	19 900 **(1)**	March 31	Cash book / discount allowed	1 274 **(1)**
March 31	Sales day book	198 301 **(1)**		Journal / irrecoverable debts	350 **(1)**
	Cash book / Bank	210 **(1)**		Journal / contra / set off	1 325 **(1)**
				Cash book / Bank	196 612 **(1)**
				Sales returns day book	570 **(1)**
				Balance c/d	18 280
		218 411			218 411
April 1	Balance b/d	18 280 **(1of)**			

(10)

Type MS · Credit control and whether to sell on credit

Answer 3 of 6 · Question 16 part c · 2 marks

2023 NOV · Paper 01 · extract 2 of 2 · find part c in this mark scheme extract

Question Number	Answer	Mark
16(b)	**Award marks for correct dates, details and amounts in combination.**	**(3)**

Provision for Irrecoverable Debts Account

Date	Details	$	Date	Details	$
March 31	Income statement	81 **(1of)**	April 1	Balance b/d	995 **(1)**
	Balance c/d	914			
		995			995
			April 1	Balance b/d	914 **(1of)**

Question Number	Answer	Mark
16(c)	**Award marks as indicated up to max 2** Better credit control **(1)** Charge interest on late payment **(1)** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 16 = 15 MARKS

Type MS · Credit control and whether to sell on credit

Answer 4 of 6 · Question 18 part b · 4 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 2 · find part b in this mark scheme extract

Number		
18(a)	**Award mark as indicated.** Prudence **(1)**	**(1)**

Question Number	Answer	Mark
18(b)	**Award one mark for each identification of a method and one mark for development. Max 4 marks** • Asif could offer his trade receivables a **cash discount (1)** if they pay their accounts within a specified period **(1).** • Asif could ensure that regular **monthly statements** are sent to his trade receivables **(1)** which should remind them to pay the amount due **(1)**. • Asif could charge **interest** on late payment of accounts **(1)** which would encourage customers to settle their accounts to avoid the charge **(1).**	**(4)**

Question Number	Answer	Mark
18(c)	**Award marks for correct dates, details and amounts in combination.** **Provision for Irrecoverable Debts Account**	**(3)**

Date	Details	$	Date	Details	$
Dec 31	Balance c/d	560	Jan 1	Balance b/d	480 **(1)**
			Dec 31	Income statement	80 **(1)**
		560			560
			Jan 1	Balance b/d	560 **(1)**

Type MS · Credit control and whether to sell on credit

Answer 4 of 6 · Question 18 part b · 4 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 2 · find part b in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award one mark for identification and one mark for development.** **Sample answer** His profit for the year would **increase (1)** as the trade receivables have **decreased** so the provision would also **decrease (1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
18(e)	**Award up to two marks for an advantage and up to two marks for a disadvantage. Award one mark for overall advice.** **Sample answer** If Asif starts selling goods for cash only, he may lose some customers **(1)** resulting in a decrease in the profit for the year **(1)** However, he will not incur any irrecoverable debts and there will be no need to maintain an allowance for irrecoverable debts **(1)** which will improve his profitability. **(1)** I believe he should proceed with his proposal and start selling goods for cash only. **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Credit control and whether to sell on credit

Answer 5 of 6 · Question 18 part e · 5 marks

2025 JUN · Paper 01 (regional R) · extract 1 of 2 · find part e in this mark scheme extract

18(a)	**Award mark as indicated.** Prudence **(1)**	**(1)**

Question Number	Answer	Mark
18(b)	**Award one mark for each identification of a method and one mark for development. Max 4 marks** • Asif could offer his trade receivables a **cash discount (1)** if they pay their accounts within a specified period **(1).** • Asif could ensure that regular **monthly statements** are sent to his trade receivables **(1)** which should remind them to pay the amount due **(1)**. • Asif could charge **interest** on late payment of accounts **(1)** which would encourage customers to settle their accounts to avoid the charge **(1).**	**(4)**

Question Number	Answer	Mark
18(c)	**Award marks for correct dates, details and amounts in combination.** **Provision for Irrecoverable Debts Account**	**(3)**

Date	Details	$	Date	Details	$
Dec 31	Balance c/d	560	Jan 1	Balance b/d	480 **(1)**
			Dec 31	Income statement	80 **(1)**
		560			560
			Jan 1	Balance b/d	560 **(1)**

Type MS · Credit control and whether to sell on credit

Answer 5 of 6 · Question 18 part e · 5 marks

2025 JUN · Paper 01 (regional R) · extract 2 of 2 · find part e in this mark scheme extract

Question Number	Answer	Mark
18(d)	**Award one mark for identification and one mark for development.** **Sample answer** His profit for the year would **increase (1)** as the trade receivables have **decreased** so the provision would also **decrease (1)** **Accept any other appropriate responses.**	**(2)**

Question Number	Answer	Mark
18(e)	**Award up to two marks for an advantage and up to two marks for a disadvantage. Award one mark for overall advice.** **Sample answer** If Asif starts selling goods for cash only, he may lose some customers **(1)** resulting in a decrease in the profit for the year **(1)** However, he will not incur any irrecoverable debts and there will be no need to maintain an allowance for irrecoverable debts **(1)** which will improve his profitability. **(1)** I believe he should proceed with his proposal and start selling goods for cash only. **(1)** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 18 = 15 MARKS

Type MS · Credit control and whether to sell on credit

Answer 6 of 6 · Question 16 part b · 5 marks

2021 NOV · Paper 01 · find part b in this mark scheme extract

16(a)

Award 1 mark for each correct figure plus 1 mark for correct dates and details.

Trade Receivables Ledger Control Account

Date 2020	Details	$	Date 2020	Details	$
Aug 1	Balance b/d	46 220	Aug 31	Cash book / Discount allowed	984 **(1)**
31	Sales day book	29 535 **(1)**		Journal/irrecoverable debts	597 **(1)**
	Cash book	160 **(1)**		Cash book	36 250 **(1)**
	Journal / Interest charged	119 **(1)**		Sales returns day book	380 **(1)**
	Balance c/d	240		Journal / Contra / set-off	665 **(1)**
				Balance c/d	37 398
		76 274			76 274
Sep 1	Balance b/d	37 398 **(1)**	Sep 1	Balance b/d	240

(10)

Question number	Answer	Mark
16(b)	**Award up to 2 marks for an advantage, up to 2 marks for a disadvantage and 1 mark for a decision.** **Sample answer** Cash would be received faster **(1),** resulting in improved cash flow/liquidity **(1).** Some customers may not wish to make cash purchases **(1)** resulting in lost turnover/lower profits **(1).** Eldin should continue making credit sales to retain customers/maintain profitability **(1).** **Accept any other appropriate responses.**	**(5)**

TOTAL FOR QUESTION 16 = 15 MARKS